TABLE 25.3 (*Continued*)

Question 2: You are then asked to choose between the following two outcomes:

- **a.** An assured loss of $400
- **b. A 50 percent chance of losing $1,000, and a 50 percent chance of losing nothing**

Scoring Guidelines

Question 1: Loss-averse investors are likely to opt for the assurance of a profit in "a," even though the expected value of "b" is $500.

Question 2: Loss-averse investors are more likely to select "b" even though the expected value in B is –$500 and the loss in A is only $400.

By making both these choices, Mrs. A appears to exhibit loss aversion.

reason she is invested so conservatively is primarily because of behavioral biases. Spencer's job is now to answer the following three questions:

1. What effect do Mrs. A's biases have on the asset allocation decision?
2. Should Spencer moderate or adapt to Mrs. A's biases?
3. What is an appropriate behaviorally modified asset allocation for Mrs. A?

Solutions to Mrs. Alexander Case Study

Effect of Biases Mrs. Alexander's biases are consistent and demonstrate to Spencer a clear allocation preference for bonds. Because Mrs. Alexander does not want to put her principal at risk (which is manifested by loss aversion bias) and separates her money into mental accounts (mental accounting), she would naturally prefer the safe and secure asset allocation of 100 percent bonds that she now has. Additionally, because the stock market rises and falls regularly, she will likely make irrational conclusions about what the "right" level of the overall stock market should be (anchoring bias); as a result, she will be wary of any exposure to equities. Thus, if Spencer as her advisor presented her with an allocation of 100 percent bonds, she would be likely to immediately agree with that recommendation. However, Spencer understands that she has a bias toward such an allocation.

Moderate or Adapt? Mrs. Alexander's level of wealth—which, while not low, is not high—puts her at a relatively high standard of living risk (SLR). If Spencer *adapts* to her biases and recommends an allocation of 100 percent bonds, Spencer's financial planning software tells him that Mrs. Alexander runs the risk of outliving her assets, a clearly unacceptable outcome. Spencer